

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-15

**WORLD IMPORTS, LTD., WORLD IMPORTS CHICAGO, LLC, and
WORLD IMPORTS SOUTH, LLC**

v.

OEC GROUP NEW YORK

ORDER DENYING WITHOUT PREJUDICE REQUEST TO DISMISS PROCEEDING

BACKGROUND

This proceeding had been held in abeyance pending approval of a settlement agreement by the Bankruptcy Court in New Jersey. The Bankruptcy Court approved the settlement on December 21, 2016. On January 6, 2017, the parties filed a request to dismiss the proceeding pursuant to Commission Rule 72(a)(2). The parties contend that the settlement agreement approved by the Bankruptcy Court is not a “settlement on the merits;” therefore, the parties may dismiss the proceeding by stipulation. As set forth below, I conclude that the settlement agreement is on the merits within the meaning of Commission Rule 72 and the parties must file a motion pursuant to Rule 72(a)(3).

On July 8, 2016, complainants World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC (collectively World Imports)¹ commenced this proceeding by filing with the Secretary a Complaint alleging that respondent OEC Group New York (OEC) violated the Shipping Act of 1984. World Imports states that the three companies are corporations “formerly engaged in the business of buying furniture wholesale and selling it to retail distributors.” (Complaint ¶ 1.) World Imports alleges that OEC is a New York corporation and a “freight forwarder/logistics provider” providing non-vessel-operating common carrier services. (*Id.* ¶ 2.)

¹ For convenience I refer to the World Imports entities together in the singular.

World Imports alleges that OEC “was in possession of multiple landed shipments of merchandise for delivery” (Complaint ¶ 5.B) to World Imports but failed to release those goods on the basis of freight charges owed to OEC for goods OEC had “previously delivered and unconditionally released.” (Complaint ¶ 5.C.) World Imports alleges that OEC has “transmogrified what would have been an unsecured claim in World Imports’ bankruptcy proceedings into a secured maritime lien.” (Complaint ¶ 6.) World Imports alleges that OEC has violated Section 10(d)(1) of the Shipping Act, which provides that a common carrier “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). World Imports requests a cease and desist order, an order that OEC establish lawful and reasonable regulations, and an award “by way of reparations for the unlawful conduct herein described the sum of \$172,075.50, with interest and attorney’s fees or such other sum as the Commission may determine to be proper.” (Complaint ¶ 8.)

As indicated by the reference to World Imports’ bankruptcy proceedings, this proceeding is not the only litigation between the parties. As summarized by the Third Circuit:

On July 3, 2013 (the “Petition Date”), World Imports filed voluntary petitions for relief in the Bankruptcy Court OEC promptly filed a motion for relief from the automatic stay imposed by Bankruptcy Code § 362(a). It argued that it was a secured creditor with a possessory maritime lien on World Imports’ goods in its possession and was entitled to refuse to release such goods unless and until certain prepetition claims were satisfied. As exhibits to its motion, OEC provided documentation that, as of July 10, 2013, the total amount owed to OEC by World Imports was \$1,452,956. Of that amount, \$458,251 was the estimated freight and related charges due on containers then in OEC’s possession (the “Landed Goods”). The remaining \$994,705 consisted of freight and related charges associated with goods for which OEC had previously provided transportation services (the “Prepetition Goods”). OEC estimated the total value of World Imports’ goods then in OEC’s possession was approximately \$1,926,363.

World Imports responded by filing an adversary proceeding against OEC and a motion for an expedited hearing to compel OEC to turn over all of World Imports’ “Current Goods,” which World Imports defined to include both the Landed Goods and goods then in transit for which OEC was to provide delivery in the near future. World Imports represented its willingness to pay OEC for the freight charges on those Current Goods but not for the outstanding charges associated with the Prepetition Goods.

In re World Imports, Ltd. v. OEC Group New York, 820 F.3d 576, 580-581 (3d Cir.), *cert denied*, 2016 U.S. LEXIS 6391 (Oct. 17, 2016).

The Bankruptcy Court granted injunctive relief sought by World Imports and ordered that OEC deliver the Current Goods immediately and for World Imports to pay regular freight charges and documented demurrage/retention charges on the Current Goods only. OEC appealed to the district court seeking an order that World Imports pay all outstanding amounts for OEC's transportation services or provide "valid, fully enforceable replacement liens on assets of [World Imports] in the amount of \$1,926,363." *Id.* at 581. The district court "held that OEC did not possess a valid maritime lien on the Prepetition Goods" and affirmed the Bankruptcy Court. *Id.*

OEC appealed to the Third Circuit on "a single question, namely, whether the Bankruptcy Court and District Court erred in holding that the contract provisions at issue, which purported to give OEC maritime liens on goods in its possession both for freight charges on those goods and for unpaid charges on prior shipments, were unenforceable." *Id.* at 582. The court concluded "that the parties' agreement to apply those unwaived liens [on Prepetition Goods] toward the Current Goods is enforceable. Thus, we will reverse and remand so that OEC may be granted relief appropriate to its valid maritime liens." *Id.* at 592. The Supreme Court denied World Imports' petition for writ of certiorari.

As stated above, World Imports filed its Complaint with the Commission after the Third Circuit issued its decision. OEC has not filed an answer. On August 4, 2016, the parties filed a Joint Motion to Hold Case in Abeyance. The parties stated:

The parties to this action have reached *an agreement in principle to settle this* and related litigation. The terms of the settlement are to be reflected in a Plan of Reorganization to be submitted by World Imports in its bankruptcy action before the Bankruptcy Court for the Eastern District of Pennsylvania. Upon confirmation of a Plan of Reorganization containing the terms agreed to by World Imports and OEC, *this action will be dismissed with prejudice by World Imports.*

(Joint Motion to Hold Case in Abeyance (emphasis added).) The Joint Motion was granted and the parties were ordered to file a joint status report on November 15, 2016, if the Bankruptcy Court had not issued a decision by that date. *World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC v. OEC Group New York*, FMC No. 16-15 (ALJ Aug. 16, 2016) (Order Holding Case in Abeyance).

On November 15, 2016, the parties filed a Joint Status Report stating that the parties anticipated filing the agreement for approval with the Bankruptcy Court "in the next few days." (Joint Status Report filed November 15, 2016.) In a telephone conference held at the request of the undersigned, the parties orally moved to hold the case in abeyance. The motion was granted and the parties were ordered to "notify the Commission within seven days of a decision by the Bankruptcy Court. If the agreement is approved by the Bankruptcy Court, the attention of the parties is directed to Commission Rule 72 governing dismissal of Commission proceedings. 46 C.F.R. § 502.72." *World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC v. OEC Group New York*, FMC No. 16-15 (ALJ Nov. 15, 2016) (Second Order Holding Case in Abeyance).

On January 6, 2017, the parties filed a Notice of Bankruptcy Court Order Approving Settlement Agreement. The Notice states:

[World Imports and OEC] hereby provide notice that the United States Bankruptcy Court for the Eastern District of Pennsylvania has entered a settlement agreement in Adversary Proceeding No. 13-00402-sr between OEC and World Imports. The Order approving the Settlement and the Settlement Agreement are attached hereto as Exhibits A and B.

Pursuant to 46 CFR 502.72(a)(2), parties may dismiss an action without an order from the presiding officer by filing a stipulation of dismissal signed by all parties who have appeared, representing that the settlement that was reached was not on the merits. Consistent with the provisions of Rule 72, the parties jointly submit that the settlement did not reach the merits of the Complaint filed here but instead was reached in order to address Bankruptcy Code issues raised in the adversary proceeding between the parties, which issues were subsequently addressed by the Third Circuit.

(Notice of Bankruptcy Court Order Approving Settlement Agreement at 1-2 (footnote omitted).) The omitted footnote, linked to the word “merits” in the second paragraph, states: “The parties would simply have submitted a stipulation of dismissal but for the Court’s November 15, 2016 Order directing the parties to provide notice of the approval of the Bankruptcy Court Order approving the settlement.” (*Id.* at 2 n.1.)

Commission Rule 72 provides:

Voluntary dismissal. (1) *By the complainant.* When no settlement agreement is involved, the complainant may dismiss an action without an order from the presiding officer by filing a notice of dismissal before the opposing party serves either an answer, a motion to dismiss, or a motion for summary decision. Unless the notice or stipulation states otherwise, the dismissal is without prejudice.

(2) *By stipulation of the parties.* The parties may dismiss an action at any point without an order from the presiding officer by filing a stipulation of dismissal signed by all parties who have appeared. In the stipulation the parties must certify that no settlement on the merits was reached. Unless the stipulation states otherwise, the dismissal is without prejudice.

(3) *By order of the presiding officer.* Except as provided in paragraphs (a)(1) and (a)(2) of this section, an action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to

violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a).

The Commission Complaint filed by World Imports alleges that OEC had in its possession merchandise for delivery to World Imports with a value of approximately \$450,000 (the "Landed Goods") and multiple shipments in transit of merchandise valued at approximately \$1,400,000. World Imports owed a total of approximately in freight, storage, customs duties, and detention charges \$481,251 on all shipments of the Landed Goods. World Imports offered to pay these charges, but OEC refused to release the merchandise unless World Imports paid the charges plus \$994,705 in freight charges that OEC had previously delivered and released to World Imports. (Complaint ¶ 5.B-C.) "In asserting a maritime lien on the Current Good for the unpaid \$994,705 on the Previously Delivered Good, OEC violated Section 10(d)(1) of the Shipping Act. 46 U.S.C. § 41102(c)." (Complaint ¶ 5.C.)

The Settlement Agreement approved by the Bankruptcy Court recites the procedural history in the federal courts from the Bankruptcy Court through the Supreme Court and the Complaint filed in this Commission proceeding. (Settlement Agreement at 1-2.) The Agreement requires an initial payment of \$175,000 payment by World Imports to OEC. It then provides that all of World Imports' remaining assets "shall be divided between [World Imports] and OEC as follows: (a) the first [\$250,000] shall be retained by [World Imports]; (b) the next [\$25,000] shall be paid to OEC; and (c) all remaining assets shall be divided/paid equally between [World Imports] and OEC." (*Id.* at 3.) Pursuant to the Agreement, World Imports releases and discharges:

OEC, the Defendant from any and all claims (including but not limited to the claims asserted in the Adversary Proceeding), causes of action, suits, debts, claims, liens, obligations, liabilities, accounts, damages, defenses, sums of money, reckonings, bonds, bills, variances, covenants, contacts, controversies, agreements, promises, trespasses, judgments, executions, losses, costs, and expenses (including attorneys' fees), demands, in law or in equity, whether known or unknown, or hereafter becoming known, of any kind, character, or nature whatsoever, fixed or contingent, against any of the aforesaid released parties which Debtor Parties had, now has, or hereafter can, shall or may have for, upon or by reason of any matter, cause or thing whatsoever, from the beginning of the world through the Effective Date.

(*Id.* at 4-5.)

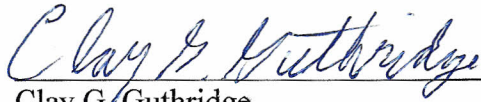
DISCUSSION

World Imports sought a reparation award of \$172,075.50 from OEC. Instead of receiving a reparation award, World Imports is paying OEC \$175,000 plus an apportioned amount of the

proceeds of the sale of World Imports' assets. The requirement to release and discharge OEC "from any and all claims" includes a release from the claims in this proceeding. I also note that the parties represented to the Commission that the settlement that they had already reached in principle was intended to settle this litigation after which this action would be dismissed with prejudice by World Imports. (Joint Motion to Hold Case in Abeyance.) Based on the facts set forth above and the requirements imposed by the Settlement Agreement, I conclude that the Settlement Agreement resolves the merits of this proceeding and is a settlement on the merits subject to the requirements of Commission Rule 72(a)(3). 46 C.F.R. § 502.72(a)(3). Therefore, it is hereby

ORDERED that the request to dismiss the proceeding be **DENIED WITHOUT PREJUDICE**. It is

FURTHER ORDERED that the parties proceed as required by 46 C.F.R. § 502.72(a)(3). The parties should file the motion contemplated by Rule 72(a)(3) on or before January 26, 2017. The parties need not submit an additional copy of the Settlement Agreement with the motion.



Clay G. Guthridge
Administrative Law Judge